

Legacy Reinvented: The Transformative Journey of AKS

Case

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This case was written by Nitin Kumar Saxena (Jaipuria School of Business, Ghaziabad). It is intended to be used as the basis for class discussion rather than to illustrate either effective or ineffective handling of a management situation. The case was compiled from generalised experience.

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Introduction:

In a pivotal meeting on July 5, 2021, Alok Kapoor, a determined and aspiring entrepreneur, was engrossed in discussions about the extraordinary saga of Atul Kapoor & Sons, a distinguished company hailing from Pune, Maharashtra, India. With a century-long legacy, the company's expertise lay in manufacturing umbrellas, bags, raincoats, and air pillows, a heritage that filled Alok with immense pride. However, despite the company's enduring success, he couldn't shake off his concerns about the uncertain future. The outbreak of Covid-19 and the sweeping forces of globalization had cast shadows of doubt over the organization's destiny. Realizing the need for adaptation, Alok embarked on a journey to redefine their business policies, recognizing that evolution was vital for preserving the legend of Atul Kapoor & Sons (AKS).

Discovering the Origins of AKS: From Umbrella Repair to Legendary Manufacturer

The history of Atul Kapoor & Sons traces back to a captivating incident in the late 1900s. In 1908, an umbrella adorning the throne at the Shreemant Dagdusheth Halwai Ganpati Mandir in Pune required repairs. Atul Kapoor, a gifted pakhawaj instrumentalist in the durbar, took the initiative to mend it, inadvertently laying the foundation for the emergence of an umbrella manufacturer in Eastern India. Driven by this revelation, he established a humble umbrella workshop bearing his name, Atul Kapoor.

After Atul Kapoor's passing, the legacy faced an uncertain fate. His two wives became central figures in the company's survival. While one son from the first marriage contemplated dissolving the business after her demise, the second wife displayed unwavering determination to preserve her husband's legacy. Her pivotal role ensured the company's continuity, safeguarding its heritage for over a century.

The second generation, led by Arvind Chandra Kapoor, Atul Kapoor's son, took over in 1933 after completing primary education. Arvind Chandra's conviction in his responsibility to uphold the family business set the stage for an enduring inter-generational journey. Under his leadership, the company flourished, evolving from Atul Kapoor to Atul Kapoor & Son.

Triumph Over Adversity: Navigating Internal Struggles and External Challenges

Triumphs mark the chronicle of Atul Kapoor & Sons amid numerous challenges. Internal struggles within the family threatened the business after Atul Kapoor's passing. Sons from his first marriage sought to close the company and sell the brand, creating discord with their stepmother. Nonetheless, the unwavering dedication of the second wife saved the company from disintegration.

Arvind Chandra's generation encountered its fair share of family disputes as well. With four sons aspiring to break away, his vision for the brand's sustained success faced resistance. Despite these internal divisions, Atul Kapoor & Sons persisted under its authentic brand name. External challenges, such as political disturbances and labor issues, posed obstacles in the early years. The liberalization of the Indian economy in 1992 brought amplified difficulties, intensified by the competition from global companies, especially those employing low-price strategies in utility-based products.

The company further confronted a devastating fire in 2011 that caused significant losses and damaged its reputation. Despite these setbacks, Atul Kapoor & Sons demonstrated resilience, embracing Industry 4.0 technologies and capitalizing on India's cheap and productive labor. They weathered global competition and the repercussions of the fire with determination and ingenuity.

Upholding Tradition and Embracing Innovation: The Key to AKS's Success

At the core of Atul Kapoor & Sons lies a steadfast commitment to trust, quality, and ethical business practices, all offered at reasonable prices. This dedication has made them the top choice for clientele seeking reliable products. The manufacturing unit maintains an unwavering focus on quality assurance and control, ensuring that the products, known for their elegant designs and superior workmanship, meet the highest standards.

Customer-Centric Approach: Building Trust and Loyal Clientele

Customer satisfaction is paramount for Atul Kapoor & Sons, and their rigorous quality control professionals adhere to stringent parameters throughout the production process,

from raw material procurement to final delivery. As a result, the company has earned a solid reputation throughout the eastern part of the country, with loyal customers even reaching out from abroad to handpick their cherished umbrellas.

Stakeholder Ethos: Nurturing Employee Talent and Welfare

Stakeholder interests hold a special place in the company's ethos. During trying times like pandemics and fire breakouts, the company remains committed to its employees, ensuring no layoffs and timely salary payments. Additionally, the company supports employees' kin in pursuing higher education, valuing their grassroots talent as a vital asset for continuous growth and quality enhancement.

Flexibility and Innovation: Adapting to Dynamic Market Needs

While staying true to their roots and family-owned structure, Atul Kapoor & Sons also understands the importance of flexibility and innovation. They acknowledge the need to adapt to inter-temporal and inter-spatial requirements, fostering innovations continuously add value to their esteemed customers' lives.

Embracing the Digital Age: Enhancing Presence in the E-Market

Traditionally shunning physical advertising, the company is open to reforming its strategies to embrace the digital age. With a focus on relationship marketing and word of mouth, Atul Kapoor & Sons aims to increase its digital presence significantly. They recognize the immense potential in the e-market for umbrellas, rainwear, and bags and are actively working on digital marketing and promotions to expand their reach. Despite its pan-India network and strong presence in several states, the company has yet to venture extensively into exports. However, they remain open to export orders while maintaining a commitment to preserving their quality, which relies heavily on skilled manual labor.

Quality and Efficiency: Leveraging Technology and Process Improvement

Under the leadership of Alok and his father, Atul Kapoor & Sons prioritizes process improvement to reduce waste and lead time. The integration of semi-automatic technology and software monitoring further enhances their efficiency. Learning from past experiences, the company has implemented a unique approach to smoking policies, incentivizing non-smoking through allowances while imposing fines on smoking employees. This

exemplifies their dedication to establishing a healthy organizational culture, reflected in their team member training and development investments.

Post-Covid, the company adapted by adding masks and face shields to their product line, catering to the evolving needs of consumers. They have also embraced digital innovations like QR codes to streamline their selling platforms for enhanced customer convenience. Throughout its journey, Atul Kapoor & Sons' relentless pursuit of excellence, innovation, and customer dedication has allowed them to thrive and evolve, reaffirming their position as a time-honored and progressive family business.

The Way Forward: Charting the Path to "Atmanirbhar" - Self-Reliance and Growth

Despite enduring the test of time and facing numerous challenges, Atul Kapoor & Sons have remained resolute for over 140 years. However, the ever-evolving business landscape has prompted Kapoor to reevaluate its approach and adapt to current circumstances. Instead of relying on aggressive marketing or extravagant outdoor campaigns, the company has consistently nurtured authentic connections with its customers, building a loyal clientele through word of mouth. Their steadfast commitment to quality and long-term collaborations with employees, suppliers, and retailers has fostered a strong social bond, establishing them as a household brand for umbrellas among Maharashtrians and providing protection from rain and sun against all odds.

Nonetheless, the organization faces novel challenges today. The emergence of substitute products and the entry of fresh competitors into the Indian market are pressing concerns. Moreover, the constraints posed by restricted physical mobility and the changing preferences of the younger generation for variety and convenience are pivotal factors shaping their business landscape. The initial stages of the Covid-19 pandemic severely disrupted operations, but the company adapted by venturing into online sales and e-commerce, embracing semi-automatic technology, and establishing a digital presence.

Kapoor now envisions making Atul Kapoor & Sons "Atmanirbhar" (self-reliant), drawing from their past successes to chart a course for the future. He dispels the common belief that Bengalis excel in artistic and cultural realms but struggle in business. Through strategic business redesign and embracing innovation, he aims to demonstrate that their legacy can

thrive even in a rapidly changing world. In this pursuit, Atul Kapoor & Sons seek to preserve their timeless values while embracing the winds of change, securing a sustainable and prosperous future for this legendary organization.